

Federal Maritime Commission

Docket No 19-09

VERTERRA LTD.

COMPLAINANT,

v.

D.B. GROUP AMERICA LTD. and

D.B. GROUP INDIA LTD.

RESPONDENTS.

**JOINT PETITION FOR APPROVAL OF
SETTLEMENT AND VOLUNTARY DISMISSAL
WITH A PETITION TO MAINTAIN THE CONFIDENTIALITY
OF THE SETTLEMENT**

Complainant VerTerra Ltd. ("VerTerra" or "Complainant") and Respondents D.B. Group America, Ltd. ("D.B. America") and D.B. Group India, Ltd. ("D.B. India") (collectively "Respondents") have reached a settlement in this case and hereby petition the Federal Maritime Commission ("FMC" or "Commission") Pursuant to Rule 72(a)(3) of the Federal Maritime Commission's Rules of Practice and Procedure to approve of the Settlement Agreement (attached Addendum) as well as to approve the maintenance of confidentiality of the settlement, requested pursuant to Rule 91 and 46 C.F.R. 502.5 (Rule 5).

I. Procedural History

On November 22, 2019 Complainant filed a Complaint with the Commission alleging that the Respondents, violated sections 41104, 41104(a), 41104(a)(2), 41104(a)(3), 41104(a)(4), 41104(a)(5), 40501 and 40502 of the Shipping Act of 1984. On December 20, 2019 the parties filed a joint motion to extend the time for Respondents to respond. On January 13, 2020 the Respondents filed a motion to dismiss, or in the alternative, to stay the proceeding. On January 28, 2020 Complainant filed its opposition to the motion and on February 4, 2020 Respondents filed their reply. On March 5, 2020 the ALJ issued an order denying the Respondents motion to dismiss or stay. Respondents filed their Answer and Affirmative Defenses on March 16, 2020. On April 9, 2020, the parties conducted mediation before the Commission's Office of Consumer Affairs and Dispute Resolution Services ("CADRS") which did not result in a settlement. However, since that time the parties have continued to negotiate and have now reached a settlement in this matter.

Even before the FMC Action was commenced by Complainant, in March of 2019 D.B. America commenced an action New York Supreme Court, New York County entitled *D.B. Group America, Ltd. v. Verterra, Ltd. and Michael Dwork, Index No. 651402/2019*. That action sought payment for several allegedly unpaid invoices for shipments handled by D.B. Group for VerTerra. Michael Dwork, Verterra's CEO, was named as D.B. America alleged he had executed a personal guarantee which was applicable to the shipments at issue. The present settlement resolves both the FMC action, plus a this New York State Court action.

II. The Parties respectfully request that the Commission approve the settlement.

The Commission has a strong and consistent policy of encouraging "settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid."

Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc., 29 S.R.R. 975, 978 (ALJ 2002) (quoting *Old Ben Coal Co. v. Sea-Land Serv, Inc.*, 18 S.R.R. 1085, 1091 (ALJ 1978)). The Commission's policies, its Rules of Practice, and the Administrative Procedures Act all encourage settlements. *Old Ben Coal Co. v. Sea-Land Services, Inc.*, 18 S.R.R. 1085, 1092 (ALJ 1978). The FMC has consistently recognized that compromises and settlements have various advantages over litigation. See *id.* at 1092. The Commission has noted:

The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the Parties, the lawyers, and the courts, and it is thus advantageous to judicial administration, and, in turn to government as a whole. Moreover, the use of compromise and settlement is conducive to amicable and peaceful relations between the parties to a controversy.

Id. (citation omitted).

The Commission reviews settlement agreements to make sure that they do not contravene law or public policy, and are free of fraud, duress, undue influence, or other defects that would render them unapprovable. The Commission's inquiry is informed, however, by its "strong and consistent policy of encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid." *APM Terminals N. Am., Inc. v. Port Auth. Of N.Y. & N.J.*, 31 S.R.R. 623, 625 (FMC 2009)(quoting *Inlet Fish Producers*, 29 S.R.R. at 978) (internal quotation marks and brackets omitted).

The Parties recognize that the Commission does not merely rubber-stamp settlement agreements. Here, however, the settlement is the result of more than a year's worth of arms-length negotiations between two sophisticated entities, both of whom were represented by counsel at all times. The agreed resolution does not contravene any law or public policy. It is not an unjust or discriminatory device, nor will it have any adverse effect on any third parties or on

the shipping public. Rather, the settlement is fair and reasonable, and reflects the Parties' desire to resolve their issues without the need for costly and uncertain litigation.

Because the Parties' agreed settlement is fair and reasonable, and is the product of prudent and considered judgment by both Parties, the Parties respectfully request that this Joint Motion for Approval of Settlement and Voluntary Dismissal be granted, that the Parties' settlement be approved, and that this action be dismissed with prejudice, with each party to bear its own costs.

III. Request for Confidential Treatment

The Parties ask that the Confidential Settlement remain confidential. Such confidentiality is one of the terms and conditions of the Settlement (see Addendum, Section III(J)) and is routinely granted by the Commission due to the recognition that settlement agreements often contain sensitive commercial information and should be protected from public disclosure. See *D.F. Young, Inc. v. NYK Line (North America) Inc.*, FMC Dkt. No. 16-02, at *4-5 (FMC May 22, 2018). The Settlement's confidentiality provision should not be considered as illegal or against public policy because it contains an exception for disclosure required by law. See Addendum, Section III(J).

Dated: May 26, 2020

Respectfully submitted,



Christopher Sovak, Esq.

Bushell, Sovak & Kane, LLP

274 Madison Ave, Ste 901

New York, NY 10016

csovak@bushellsovak.com

Attorneys For Claimant VerTerra, Ltd.

A handwritten signature in black ink, appearing to read 'R. Altman', is positioned above a horizontal line.

Richard Altman, Esq.

Reisman, Rubeo & Altman, LLP

151 Broadway

Hawthorne, New York 10532

Attorneys for Respondents